

Employee Attrition Analysis

Purpose:

The purpose of this analysis is to reveal reasons for the departure of employees and factors which can assist in reducing employee turnover via appropriate HR retention strategies.

Insights & Findings:

From the results of the analysis, it can be concluded that there are several workplace factors contributing to employee attrition but not the salary per se. Employees frequently working overtime have been found to be the most prone to leaving the organization. Frequent business trips constitute another major factor of employee attrition because employees with frequent business trips suffer from stress and imbalance between work and private life.

In addition, certain job positions have been found to have higher attrition rates. For instance, Sales Representatives had the highest attrition rate – 39.76%. Laboratory Technicians' attrition rate constituted 23.94% and employees in Human Resources (23.08%) have been found to leave their jobs more frequently. As for departments, attrition rate in the Sales department has been 20.63% and the Research & Development had the lowest attrition rate (13.84%).

It has been revealed that salary plays an important part in retaining employees. Employees leaving the organization receive an average monthly salary equal to 4,787 whereas employees who stayed receive 6,833. Moreover, the likelihood of leaving was also associated with the lack of work-life balance among employees. In particular, those employees who had the lowest rating of work-life balance had a higher probability of leaving, which equaled 31.25%. On the contrary, employees who had better work-life balance had a 14.22% attrition rate. Employees who left the company also had a relatively lower tenure than other employees, 5.13 years as opposed to 7.37 years.

As can be seen from the above results, HR should pay close attention to employee retention within the Sales department, particularly among employees working in Sales Representative and Laboratory Technician positions. In order to improve retention, HR can decrease excessive overtime, review business travels, and improve work-life balance initiatives. It is important to note that the company needs to enhance its onboarding, mentoring, and career development activities among new employees who have been working in the company not for a long time. It also can review compensation among lower-paid employees. In conclusion, it can be stated that the probability of employee attrition is dependent on such factors as workload, business travel requirements, job position, work-life balance, salary, and employee experience within the organization.